

ECONOMICS

9708/11

Paper 1 Multiple Choice

May/June 2018

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

This document consists of **12** printed pages.

next best alternative ² forgone

1 What would be an opportunity cost of growth in an economy?

- A the faster growth of services than of manufacturing *Factor that contributed to growth*
- B the need for an increased level of imported raw materials *results in growth*
- C the need for greater government intervention *Factor contributing to growth*
- ✓ D the reduction of consumption if growth requires investment *capital goods ↑, consumer goods ↓, Consumption ↓*

2 A1..... economic statement is an objective statement that2..... be tested using factual evidence, whereas a3..... economic statement is a subjective statement that4..... be tested using factual evidence.

Normative

can

Positive

can't

Which words complete gaps 1, 2, 3 and 4?

	1	2	3	4
A	normative	can ✓	positive	cannot ✓
B	normative	cannot	positive	can
✓ C	positive ✓	can ✓	normative ✓	cannot ✓
D	positive ✓	cannot	normative ✓	can

3 What would most likely be considered an advantage by producers and a disadvantage by consumers of the operation of a planned economy?

- A a bureaucratic system of decision-making *Benefits consumers*
- ✓ B a government emphasis on the production of capital goods *results in less consumer goods choices ↓*
- C a long response time to changing economic events
- D an absence of financial incentives to work and to produce *Standard of living ↓*

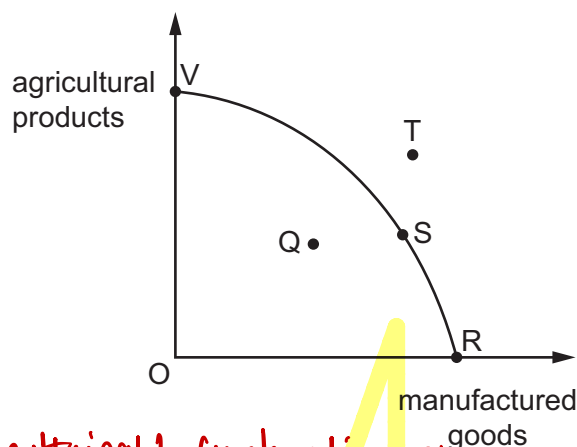
*Capital goods ↑
Investment ↑
Benefits producers*

Government failure

Disadvantage to producers

Disadvantage to producer, e.g. economic event: Recession

- 4 A country can produce manufactured goods and agricultural products as shown in the diagram.



Can't produce T, unattainable combination, with given resources

Given this information, which statement is definitely correct?

A If the country produces at Q it has unused or inefficiently used resources.

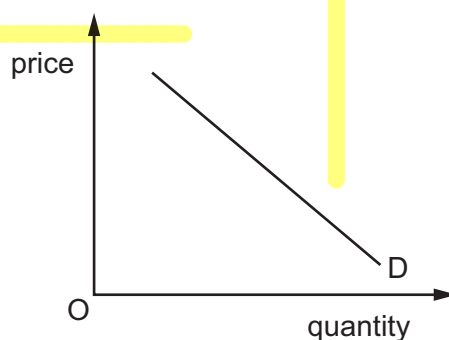
B The country should produce at T instead of at Q.

C The country would be better off producing at R than S.

D The monetary costs are the same to produce at V as they are to produce at R.

Correct, actual, point inside PPC
Both are efficient points
can't be determined using PPC, it shows combination of output.

- 5 The diagram shows a demand curve for a good.



Which statement describes the nature of this demand curve?

A A greater or smaller quantity is demanded as price changes.

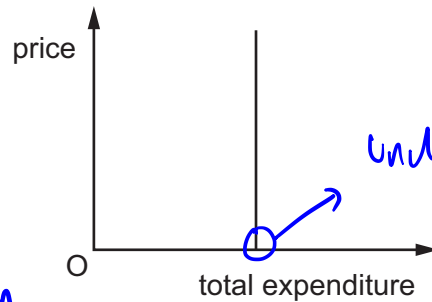
B A lower price is the result of a fall in demand.

C As demand increases so does price.

D Quantity changes in proportion to the change in price.

related to PED = $\frac{\% \Delta \text{in } QD}{\% \Delta \text{in price}}$

- 6 The diagram shows the relationship between the price and the total expenditure on a good.



Percentage change in QD is equal to % Δ in price
Unity: Unitary

unchanged TE / TR: Only in Unitary

Same reason as option A.

Which statement is correct?

- A The income elasticity of demand for the commodity is unity.
- B The income elasticity of demand for the commodity is zero.
- C The price elasticity of demand for the commodity is unity.
- D The price elasticity of demand for the commodity is zero.

Relationship between Income and quantity. Graph is related to price and quantity.

→ perfectly inelastic demand, where QD is unchanged

- 7 Over the last ten years the price elasticity of demand for tea in many countries has risen.

Elastic demand

What is the most likely cause of this change in price elasticity?

- A a decrease in the incomes of consumers
- B a decrease in the number of complements to tea
- C an increase in the amount of tea supplied
- D an increase in the number of substitutes for tea

unrelated to Elastic demand

PES

Substitutes ↑, responsiveness ↑, Elastic demand

- 8 What would be the price elasticity of supply of cell (mobile) phones if their price rose from US\$100 to US\$110 and the quantity supplied rose from 200 to 250?

- A 0.2
- B 0.4
- C 2.5
- D 5.0

Elastic supply

$$PES = \frac{\% \Delta \text{ in QS}}{\% \Delta \text{ in Price}}$$

- 9 A product has a high price elasticity of supply.

What might explain this?

- A The product has a high opportunity cost.
- B The product has a non-perishable nature.
- C The product is classed as an inferior good.
- D The product is considered to be a luxury.

unrelated

(related to income)

$$\% \Delta \text{ in QS: } 25\% = \frac{25}{10} = 2.5$$

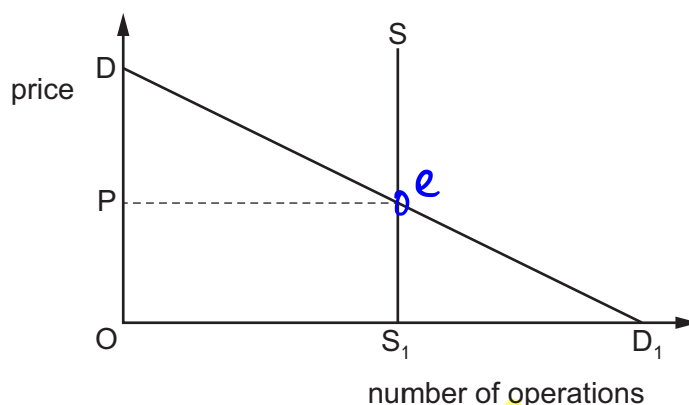
$$\% \Delta \text{ in Price: } 10\%$$

$$\% \Delta = \frac{\text{New} - \text{old}}{\text{old}} \times 100$$

Can be stored longer, High responsiveness, quickly able to respond to change in demand

Related to PED, Elastic demand.

- 10 The diagram shows the demand curve, DD_1 , and the supply curve, SS_1 , for eye operations.



The operations are provided free to the consumer.

Which statement is correct?

A Consumer surplus from the operations is ODD_1 . *C.S = PDe*

B The equilibrium price is indeterminate, because the supply curve is vertical.

☒ C The equilibrium price is P. *Correct, D = S*

D The equilibrium price is zero. *It's 'P'.*

Equilibrium price is 'P'.

Demand ↑, shortage, price ↑

- 11 The demand for houses in London has caused house prices to rise considerably in the last five years. Many people cannot now afford to buy a house.

What can be concluded from this?

A On a demand and supply diagram for houses there has been a movement up the demand curve. *But question says due to changes in demand, it affected price, thus shift.*

☒ B On a demand and supply diagram for houses there has been a movement up the supply curve. *Correct*

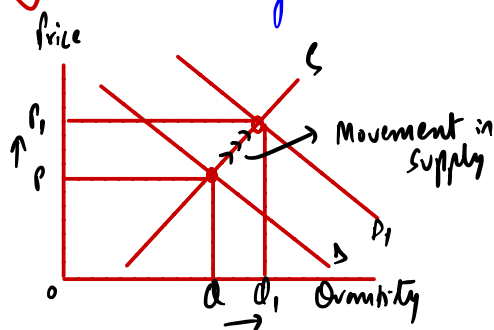
C The price elasticity of demand for houses is greater than one.

D The price elasticity of supply of houses is zero.

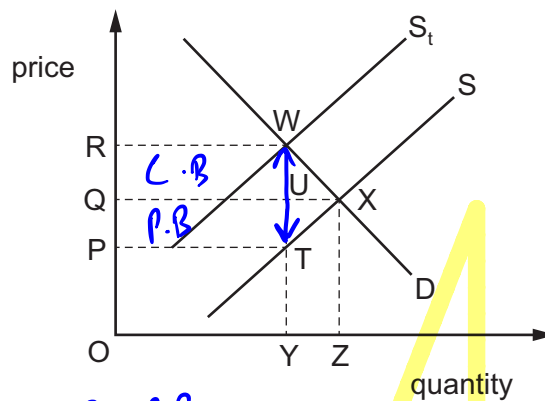
Elastic demand

perfectly inelastic supply

→ No reference to conclude



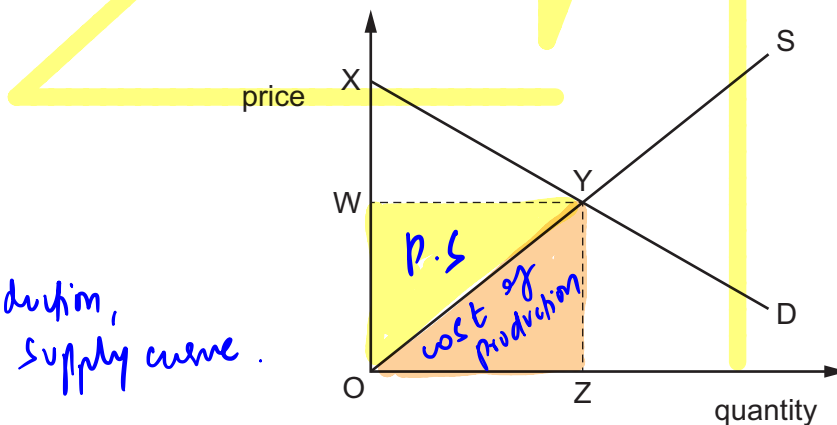
- 12 A specific tax is placed upon each bottle of perfume sold. In the diagram, S is the supply curve before tax and S_t is the supply curve after tax.



Which area represents the revenue received by the government from the tax?

- A ORWY B PQUT C PRWT D QRWU
 ↳ TR/TE ↳ P.B ✓ ↳ C.B.

- 13 The diagram shows the demand curve and supply curve for a product.



Which area represents producer surplus? Total revenue - cost of production = P.S.

- A OWYZ minus OWY
 ✓ B OWYZ minus OYZ, TR/TE
 C OXYZ minus OYZ
 D OXYZ minus WXY

- 14 Which statement about maximum and minimum prices is correct?

- ✓ A With an effective maximum price for a product, a shortage will develop.
 B With an effective maximum price for a product, the market price will rise.
 C With an effective minimum price for a product, rationing will be necessary.
 D With an effective minimum price for a product, the market price will fall.

correct below equilibrium, $Q_d > Q_s$.

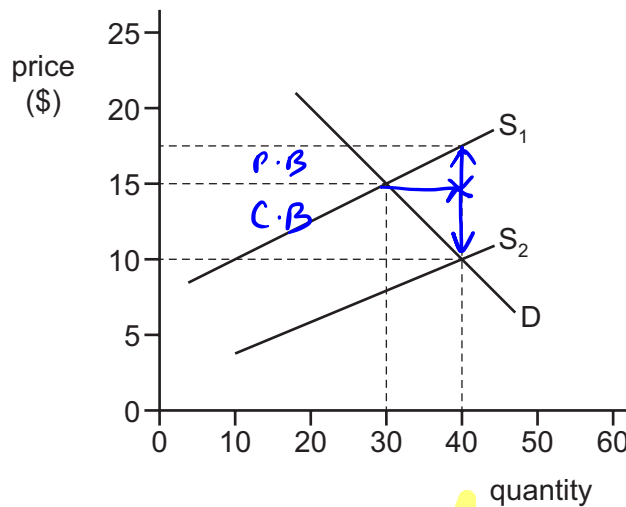
no, in case of effective max price

↳ no, it will stay above equilibrium, its effective

↳ can't, since its effective, it will stay below equilibrium

- 15 The diagram shows the effect on the market for a product of the introduction of a government subsidy.

Cost ↓
Supply ↑



What is the result of the payment of the subsidy?

- ✓ **A** Consumer surplus increases. correct, Willingness stays same, actual price ↓
- B** The price to the consumer halves. No, Half of 15 is 7.5
- C** The subsidy provides over half of producer income. C.B > P.B
- D** Total consumer expenditure on the product increases. reduces, old: $15 \times 30 = 450$ T.E ↓
New: $10 \times 40 = 400$
- 16 Why are the pensions paid to retired citizens an example of a transfer payment? No contribution in output.
- A** Retired citizens pay no tax on their pensions.
- ✓ **B** Retired citizens produce no output for their pensions.
- C** Retired citizens save some of their pensions.
- D** Retired citizens spend all of their pensions.
- ✗ A transfer payment is a payment of money for which there are no goods or services exchanged. Transfer payments commonly refer to efforts by local, state, and federal governments to redistribute money to those in need.

- 17 What is definitely a feature of a nationalised industry?

- A** Consumers are not charged a price for its product. They are charged, nationalized doesn't make it free.
- B** No profit is made from supplying its product.
- ✓ **C** The government owns the industry's capital. correct. (assets, infrastructure, and resources).
- D** There is no competition in the market for its product.

e.g. Steel industry is nationalized, profit is made, sometimes loss, but there is no intention of running the industry on loss

→ government can allow firms to operate.

Government action

18 Which government action would be identified as the direct provision of goods and services?

- ☒ A increasing road maintenance because of poor weather conditions
- ☐ B making payments to low-income families with elderly dependants
- ☐ C subsidising firms in order to encourage them to increase their output
- ☐ D taxing firms because they have been emitting damaging fumes

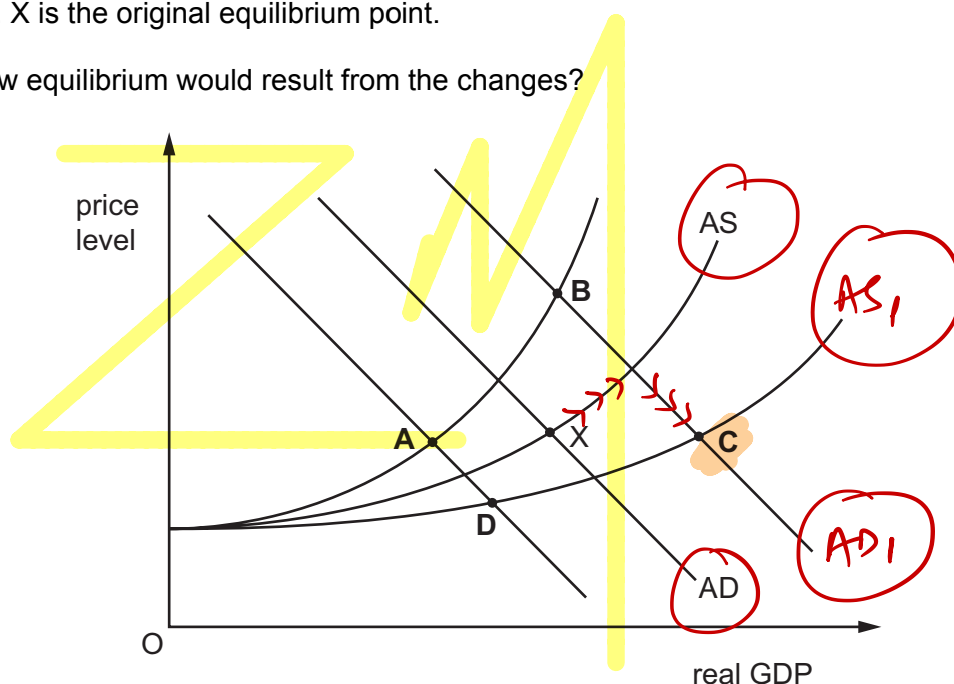
These are policies of transfer payment, subsidies and taxes, unrelated to direct provision.

19 In its 2016 budget statement, the South African government proposed stimulating business activity by the removal of regulations. It also announced that government expenditure was expected to grow by 7.1%.

$AD \uparrow$ Reduced rules, competition $\uparrow$, $AS \uparrow$

The diagram shows aggregate demand (AD) and aggregate supply (AS) for the South African economy. X is the original equilibrium point.

Which new equilibrium would result from the changes?



20 What would be certain to cause a fall in a country's cost of living?

- ☐ A a fall in real incomes, rate of inflation exceeds nominal income, cost of living $\uparrow$
- ☐ B a fall in the inflation rate, Disinflation, prices are still increasing, cost of living $\uparrow$
- ☒ C a negative inflation rate, Deflation, fall in price, cost of living $\downarrow$
- ☐ D a reduction in direct tax rates

↳ not related to price or rate of inflation
 ↳ Though individuals and firms will be better off in terms of nominal income

21 The table gives figures for household spending in the UK economy between 2008 and 2010.

Real = Nominal - Inflation

	nominal household consumption spending (£ million)	real household consumption spending (£ million)
2008	878 024	878 024
2009	858 242	846 961
2010	900 204	855 302

Inflation

0

11281

44902

More goods means quantity, no information available.

What can be concluded from the figures?

↑ **A** All households bought more goods and services in 2010 than in 2008.

B Households saved more in 2008 than in 2010. *No information*

C Living standards were lower in 2009 than 2010. *A lot of factors required*

D The rate of inflation was higher in 2010 than in 2009. *Correct*

Apply the formula to find inflation.

22 The table shows trade in goods and services for a selection of countries in 2005 and 2014.

	trade in goods and services (US\$ millions)			
	2005		2014	
	exports	imports	exports	imports
Argentina	46 892	34 797	82 026	79 194
Brazil	133 055	96 611	264 063	318 799
Ecuador	11 480	11 851	28 935	30 215
Mexico	230 369	245 100	418 952	433 977

2005

2014

12095

2831

36444

-54736

-371

-1280

-14731

-15025

What can be concluded about the balances of trade in goods and services from the table?

A Argentina had a larger surplus in 2014 than in 2005. *other way round*

B Brazil had a surplus in 2005 and a deficit in 2014. *Correct*

C Ecuador had a deficit in 2005 and a surplus in 2014. *No, deficit in 2014*

D Mexico had a larger deficit in 2005 than in 2014. *No, higher deficit in 2014*

Strong rising Australian dollar, Appreciation, X price ↑ (B), M price ↓ (C), Trade deficit, AD ↓, Output ↓, Unemployment ↑ (A) 10

- 23 A newspaper headline stated that the Australian car industry has been affected by the strength of the Australian dollar.

What would not be an effect caused by a strong rising Australian dollar?

- A Reduced foreign demand for Australian cars caused increased unemployment.
- B The price of exports of Australian cars became more expensive.
- C The price of foreign competitive cars became less expensive.
- D The price of imports of car parts became more expensive. *No, imports are cheaper.*

- 24 The terms of trade for a country have improved. $TOT = \frac{X \text{ price}}{M \text{ price}} \times 100$

Which combination of price behaviour would have caused this?

	average price of exports	average price of imports
A	decrease 4%	decrease 6%
B	decrease 4%	unchanged
C	increase 4%	increase 6%
D	unchanged	increase 2%

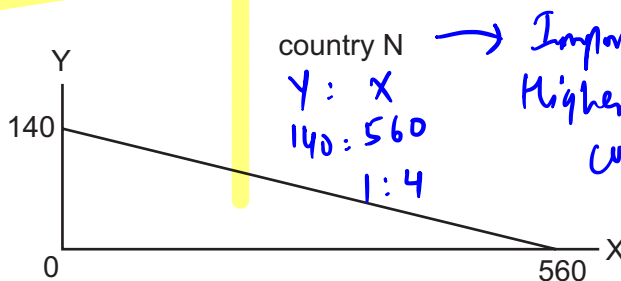
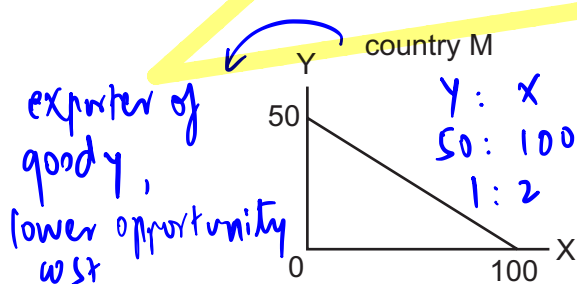
$$96/94 \times 100 = 102.1$$

$$96/100 \times 100 = 96$$

$$104/106 \times 100 = 98.1$$

$$100/102 \times 100 = 98$$

- 25 The graphs show the production possibilities for commodities X and Y in two countries M and N.



Importer of good Y, Higher opportunity cost.

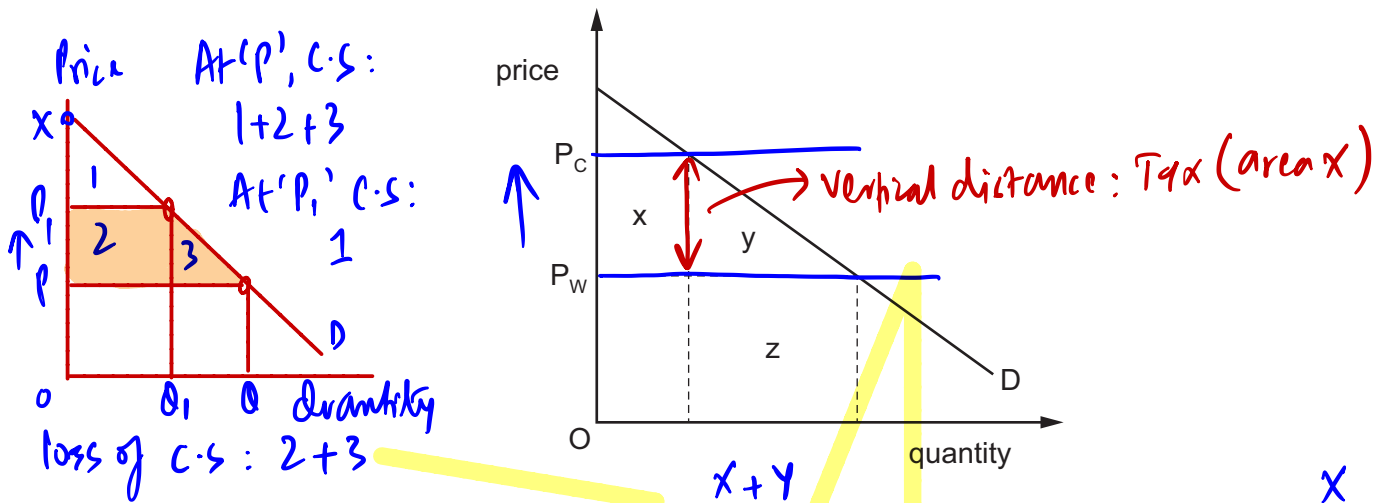
What will be the effect of an agreement between M and N to exchange the commodities at a rate of 1Y for 3X?

- Attaining the unattainable.*
- A Both countries will gain, because their consumption possibilities will increase.
 - B Consumers in country M will lose, because a unit of Y will now cost 3X instead of 2X.
 - C Neither country will gain, because they both have a comparative advantage in the production of the same commodity, X.
 - D Only country N will gain, because N can produce more of both commodities than M.

Exchange rate lies between the opportunity cost ratios of both countries, both will gain

26 In the diagram, D is a country's demand curve for an imported good.

The country's government imposes an import tariff equal to $P_w - P_c$ on the good.



Which areas measure the resulting loss in consumer surplus and the resulting gain in government revenue?

	loss in consumer surplus	gain in government revenue
A	x + y	x
B	x + y	z
C	y	x
D	y	z

27 The demand for a country's exports is price-elastic.

What will be the effect of introducing export subsidies on its balance of trade and on its terms of trade?

	balance of trade	terms of trade
A	improve ✓	improve
B	improve ✓	worsen ✓
C	worsen	improve
D	worsen	worsen ✓

Export subsidy

X price ↓

X Qty ↑

greater percentage

X(TD) ↑

BUT: improves

$$ToT = \frac{X_{price}}{M_{price}} \times 100$$

Xp ↓

Mp -

numerator ↓

ToT ↓

Training: LRAS ↑ (Supply side)

12

- 28 A government decides to borrow from the general public in order to finance its extra spending on apprenticeship training schemes.

Which types of macroeconomic policy are being used?

Fiscal policy

	fiscal	monetary	supply side
A	✓	x	✓
B	✓	x	x
C	x	✓	✓
D	x	✓	x

key

✓ = used

x = not used

Monetary:

- Money supply
- Interest rate
- Credit regulation

- 29 Which policy is not likely to help reduce a balance of payments deficit?

- A an increase in expenditure promoting locally produced goods deficit ↓
- B an increase in the quota on cheap imports more imports allowed, deficit ↑
- C an increase in the restrictions on foreign exchange Exchange control, deficit ↓
- D an increase in the subsidies to exporting industries Exports uncompetitive, deficit ↓

Protectionism ↓

- 30 A country has a target rate of inflation of 2.5% and has recently experienced the actual rate rising to 6%, with unemployment falling to very low levels.

Which policy option is most likely to be implemented?

- A an increase in government expenditure on training, G ↑, AD ↑, Price ↑
- B an increase in indirect taxes on demerit goods Micro policy
- C an increase in import tariffs Indirect tax, AS ↓, P ↑
- D an increase in interest rates Expenditure Switching, Tariff, mp ↑, C ↑, AD ↑, Price ↑

Contractionary monetary,

R ↑, C ↓, I ↓, AD ↓, Price ↓

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